Superintendent's Report
School District No. 1J, Multnomah County, Oregon
Regular Board Meeting of March 14, 2005
AGENDA

1. Announcements/Celebrations
2. Academic Accountability
   - Ash Street Boundary Alignment
   - Edwards Elementary Closure and Merger with Abernethy Elementary
   - Richmond Neighborhood Elementary School Closure
   - Rieke-Hayhurst Boundary Alignment
   - Smith Elementary Closure
3. Financial Accountability
   - Local Option Levy and General Obligation Bond
   - Superintendent Outlines Options for Consideration for 2005-2006 Budget
4. Charter Application for Portland Public International Charter Middle and High School
5. Legislative Update
6. Business Agenda
7. Other Business
8. Adjourn

INFORMAL MINUTES
Regular Board Meeting, March 14, 2005

The regular meeting of the Board of Directors came to order at 6:30 PM on the above date at the call of Co-Chair David Wynde in the Auditorium of the Blanchard Education Service Center, 501 North Dixon Street, Portland, Oregon.

There were present:

Board of Directors:
David Wynde, Co-Chair
Bobbie Regan, Co-Chair
Julia Brim-Edwards
Derry A. Jackson, Sr. -- *absent*
Douglas Morgan
Lolenzo Poe
Dilafruz Williams

Student Representative:
Suleima Cortez

Staff:
Vicki L. Phillips, Superintendent
Jollee Faber Patterson, General Counsel/Board Secretary
Julie Joel, Executive Assistant, Board of Education

1. ANNOUNCEMENTS/CELEBRATIONS

Recognition of the Grant High School Royal Blues

Co-Chair Wynde welcomed the Grant Royal Blues, under the direction of Doree Jarboe. The Grant Royal Blues performed two selections: "True Colors" and "I Am But A Small Voice."

Co-Chair Wynde thanked Grant Principal Toni Hunter and Ms. Jarboe for arranging this special event. Superintendent Phillips and the Board Co-Chairs presented the choir with a certificate.

Congratulations to Grant High School's Constitutional Law Team

Director Williams congratulated the Grant High School Constitutional Law Team for winning the state "We the People: The Citizen and the Constitution" competition sponsored by the Classroom Law Project. Lincoln High School placed second in state competition this year – both Grant and Lincoln won their respective regional meets. The Grant team will travel to Washington, DC this spring for national finals.

Congratulations to Vernon Elementary

Student Representative Suleima Cortez said State Schools Superintendent Susan Castillo recently announced that five schools in Oregon were chosen for the 2005 Celebrating School Success Awards, and Vernon Elementary was one of those five. She indicated Vernon would receive $2,000 to spend as they pleased and would be recognized at the Celebrating Student Success Award Banquet to be held on April 29th. Each winner is a school with a high minority population that has demonstrated excellence in student achievement, and earned a "strong" or "exceptional" rating on the Oregon school report cards for the past two years. They also must meet achievement targets under No Child Left Behind. Further, each winning school had to demonstrate improvement in math and English/language arts over a period of three years. It was noted that Astor Elementary was a finalist for this award.

The Board Co-Chairs and Superintendent Phillips presented Vernon Principal Joan Miller and members of her staff with a certificate.

Replays

Co-Chair Wynde announced the replays of the March 14, 2005 meeting can be viewed on Channel 28 on:

Wednesday, March 16, 2005	9:30 PM
Friday, March 18, 2005	10:00 AM and 8:30 PM
Saturday, March 19, 2005	7:30 PM
Sunday, March 20, 2005	4:00 PM
Monday, March 21, 2005	8:00 AM

2. **ACADEMIC ACCOUNTABILITY**

Ash Street Boundary Alignment

Superintendent Phillips said there was no change from the original proposal to the recommendation.

Citizen Comment

Julie Poust

The Board unanimously approved Board Action 3250, "Ash Street Boundary Alignment" by a vote of 6-0 (Director Jackson absent from voting; Student Representative Cortez voting yes, unofficial).

Edwards Elementary Closure and Merger with Abernethy Elementary

Superintendent Phillips said her recommendation was to close Edwards Elementary and merge it with Abernethy Elementary. She said Abernethy Elementary will operate under the year-round schedule, and a conversation will take place with the new Abernethy school community.

Citizen Comment

Kathy Hastie	Jim Turner
Matthew Hastie	Patrick Boyle
Randall Heeb	Rebecca Koffman
Tony Carr	Malcolm Hodge
Cindy Young	Steve Tebor
Susan Ramsay	Kimberly Harding
Nicole Smith	Amy DeRosso
Lindy Walsh	Paula Jaszkowski

Co-Chair Wynde introduced an amendment to Resolution 3251, which added language that the Superintendent would explore the possibility of having year-round high school in the Abernethy feeder pattern.

Director Brim-Edwards discussed the steps taken by the Board to use PPS facilities more effectively. She said the Best Use of Facilities Task Force focused on non-school buildings to increase revenue and came up with a series of recommendations, which the Board accepted. She noted that Innovation Partnership looked at all PPS facilities and provided data on the property and the status of PPS facilities. She said the Real Estate Trust was created and PPS properties were sold – Washington High School, Glenhaven, Masonic Temple, Tubman Annex and Normandale properties. She stated school closures are difficult decisions for the Board, but noted the decline in overall enrollment in the district and the decline in state support for schools. Director Brim-Edwards reminded everyone that in 2003 Superintendent Scherzinger considered the closure of Rieke and Edwards, and the Board then adopted Resolution 2601 which created task forces for both the east and west sides. She stated the West Side Task Force recommended closing a elementary school without specifying which one to close, and the East Side Task Force also recommended a school closure without naming which school.

Director Williams noted that Portland Public Schools has a capture rate of 85% which is considered very high for an urban school district.

Director Morgan directed his comments to cost savings when schools are closed. He said keeping a school open with less than 200 students is not an efficient use of resources.

Director Morgan said in listening to the testimony from the Edwards community, it is hard to separate the school from the community and he admired and was grateful for the work the Edwards community has done for the children. He added he would vote to close Edwards and merge the school with Abernethy Elementary.

Director Brim-Edwards said with the current enrollment numbers and the need to move toward a sustainable budget, she looked at what was best for PPS in the long term. She said as a parent, she did not want to cast a vote, as she feels a great deal of sadness for the school communities that will be involved in closures. She said she would vote for the closures and encouraged the communities and families to work together.

Student Representative Cortez stated she would vote no.

Director Williams said she would vote to close Edwards and merge with Abernethy Elementary, as it would help to stabilize enrollment in that area. She asked the host community to extend a warm embrace to the Edwards community. She read a letter from a Wilcox parent who said when Wilcox

closed her child was moved to Vestal Elementary and the merger worked well for her child.

Director Poe said he looked at equity in the closure process. He cited low enrollment, lack of funds and said he would support the closure of Edwards Elementary.

Co-Chair Regan stated when a school has less than two classrooms per grade level, there is little flexibility. She said her children had been in schools with less than 200 students and with more than 400 students and both were good schools. She noted she was surprised not to see more support from Abernethy, because with a current enrollment of 203 students they could have been on the closure list. She said she would support the resolution to close Edwards Elementary.

Co-Chair Wynde stated the Board heard suggestions from a number of people about other things they should do, and added some suggestions were impractical and some were practical. He said he would support the resolution to close Edwards Elementary, but added he wanted implementation to be more efficient and effective than has happened previously.

The Board unanimously approved amended Board Action 3251 by a vote of 6-0; Director Jackson absent; Student Representative Cortez voting no, unofficial.

Richmond Elementary Neighborhood School Closure

Superintendent Phillips stated there were no changes from the original proposal to close the Richmond Elementary neighborhood program, and house the Japanese Immersion Program only at the Richmond site.

Director Brim-Edwards introduced an amendment to Resolution 3252 and explained the boundary changes as addressed in the amended resolution.

Citizen Comment

Dana Williams
Roberta Eaglehorse
Mark Charlesworth
Mitchell Hartman

Director Poe thanked the Richmond community and his Board colleagues who dialogued with the community and tried to make a difficult situation more palatable.

Co-Chair Wynde said he would vote in favor of the resolution to close the Richmond Elementary neighborhood school and noted the enrollment capacity of the school buildings in that area – Edwards, Abernethy, Richmond and Creston. He said the capacity of the four buildings is almost 2,000 and the current enrollment in that area is 738 students for the four buildings. He said the decision to close Richmond's neighborhood school, with 84 neighborhood students, was long over-due. He noted concerns shared with the Board about students crossing Powell to get to Creston Elementary, and said currently children in the Creston area live North of Powell. He said safety issues involving PPS children would be taken up with the City of Portland so all students felt safe going to and from Creston.

The Board unanimously approved amended Board Action 3252 by a vote of 6-0; Director Jackson absent; Student Representative Cortez voting yes, unofficial.

Rieke-Hayhurst Boundary Alignment

Superintendent Phillips clarified that the proposed Rieke-Hayhurst boundary alignment as noted in Board Action 3252, would take place for the 2006-2007 school year after sufficient training for Rieke staff on ELL (English Language Learner) issues and she said they would also monitor implications to the Hayhurst program.

Citizen Comment

Ruth Adkins

Director Brim-Edwards noted the issue of the Rieke-Hayhurst boundary alignment was stated as a long-standing inequity.

The Board unanimously approved Board Action 3253 by a vote of 6-0; Director Jackson absent; Student Representative Cortez voting yes, unofficial.

Smith Elementary Closure

Superintendent Phillips noted Board Action 3254, the recommendation to close Smith Elementary, contained several changes from her original proposal. One addition was the school district will maintain the Smith building and grounds in its inventory until the extent of future projected enrollment in that cluster becomes clearer.

Citizen Comment

Jay Ward	Courtney Tomastik
Sandy Marr	Dave Smith
Ray Lynn Dodge	Kathy Price
Rebecca Owens	Melissa Hamilton
Kristi Smith	Steve Shearer
Jennifer Madsen	Lori Calkins
Tammy Sutter	Michelle Zwartjes

Director Morgan noted he had spent much time with the Smith community over the past three weeks. He said he examined the disaggregated data that compares the state scores for 2004 at all four of the elementary schools – Smith, Markham, Capitol Hill, and Maplewood. He said he asked Evelyn Brzezinski, Director of Research and Evaluation, to analyze the data to see if there were any significant differences. He said the conclusion was there are exceptional elementary schools in the Wilson cluster. He said he would cast his vote in favor of closing Smith.

Director Brim-Edwards noted the West Side Task Force report recommended closure of a west-side elementary school. She stated she would vote to support the Superintendent's recommendation to close Smith.

Director Williams commended the Smith community for their passion and commitment to public education. She said she visited Smith the previous week, and the children showed her around the school. She said it was her hope that the four school communities would come together to become a unified and exciting place for children. Director Williams called upon city leaders to address the issue of affordable housing within the city.

Director Poe said if Smith parents chose to leave Portland Public Schools, it would not be because their child could not get a quality education. He said he was glad to see the Smith community created a coalition that extended across the river, and added the problems and issues they were now facing would not go away. He said as a student and a parent, he had experienced school closure, but he would vote in favor of the closure of Smith.

Co-Chair Regan also noted that the West Side Task Force noted the declining enrollment and recommended several years ago to close a west side elementary school. She said the Board was now forced to act, as enrollment continued to drop and budget problems also continued to be an issue. She also noted that Markham, Capitol Hill and Maplewood all had strong achievement scores.

Co-Chair Wynde stated he was angry that as a School Board member he was put in the position to close a school, and that he is in a state that was spending less on K-12 education in real terms than it did in 1991. He stated since 1991 Portland Public Schools had eliminated 61% of the jobs in central office – over 180 positions. Co-Chair Wynde noted a report was commissioned on whether to sell the Blanchard Education Service District, and the report indicated it was not cost-effective to do that at this time. He said the teachers and staff at Markham, Capitol Hill and Maplewood are dedicated and caring and students and parents in those schools care about the same quality education. He said he would not vote to reverse the Superintendent's recommendation to close Smith.

The Board unanimously approved Board Action 3254 by a vote of 6-0; Director Jackson absent; Student Representative Cortez absent.

3. **FINANCIAL ACCOUNTABILITY**

Local Option Levy and General Obligation Bond

Director Morgan, Chair of the Board's Finance, Audit and Operations Committee, noted on February 14, 2005 the Board passed Board Actions 3216 and 3217 which directed administration to take the necessary steps to look at the feasibility of renewing the Local Option levy and General Obligation bond on the May ballot. He explained Board Actions 3243 and 3244 recommended not going for renewal on either the Local Option or General Obligation bond on the May 2005 ballot. He said the Finance, Audit and Operations Committee looked at the issue of putting both issues before the voters in May and listened to PPS partners, who were unanimous in agreeing that it was not feasible to be on the May ballot. Director Morgan indicated the central reason was the problem with the double majority rule. In the last presidential election, the number of registered voters increased by 20%, which would make it even more difficult to get a double majority. He emphasized that the state has an obligation to fund K-12 education, and it needs to meet that obligation.

Director Williams asked when the district would again look at the possibility of putting one or both issues before the voters.

Co-Chair Wynde responded it was safe to say that the Board is in continuing discussions with other local elected officials and PPS partners and they are also talking to legislators. He said the strategy was to evaluate the options for going on the ballot either in November of 2005 or May of 2006.

Co-Chair Regan noted the last General Obligation bond paid for the new Forest Heights school, seismic upgrades to schools, updated computers boiler upgrades and a host of other capital needs. She also noted that due to the double majority, the chance of winning an election in May to renew either the Local Option levy or General Obligation bond were slim to none. She urged citizens to write or call their legislators and tell them the double majority rule is bad public policy. Co-Chair Regan added that next year, PPS will pay about $3 million out of general funds to pay for a host of capital needs. She stressed PPS must provide a safe environment for students, but without the bond the district could not due significant maintenance.

The Board unanimously approved Board Actions 3243 and 3244 by a vote of 6-0; Director Jackson absent; Student Representative Cortez absent.

Superintendent Outlines Options for Consideration for 2005-2006 Budget

Superintendent Phillips shared a Power Point presentation on the options for consideration for the 2005-2006 budget. The Superintendent noted that the budget for K-12 education in Oregon, as proposed by Governor Kulongoski, the loss of the Local Option levy ($33.5 million), all contribute to a shortfall of $51 million in the 2005-2006 budget. She noted in 2006-2007, when the temporary local income tax (Multnomah County) expires, the shortfall could be as high as $98 million. Despite the budget shortfalls, the Superintendent emphasized the focus will continue to be on student achievement. She said PPS will save $7.9 million in each of the next two years by buying down the PERS rates. Superintendent Phillips further indicated the district will push for the legislature to increase state support over the Governor's recommended level. She said she will be proposing plans for $35.4 million in budget reductions, with every dollar focused on the core educational mission.

Co-Chair Regan noted the Superintendent has proposed using a new staffing allocation formula. She also stated when the district closed Youngson several years ago, there was a $1.5 million savings made by moving special education students back into the district and placing them at the Youngson site.

The Superintendent responded that a few years ago the district had a high percentage of out-of-district special education placements, and many of those have been brought back to the district at a reduced cost with the same quality of services.

Director Morgan said the Finance, Audit and Operations Committee would meet next Friday at noon, and one of the main topics of discussion would be the proposed staffing allocation formula.

Superintendent Phillips said even in difficult financial times, the district wants to make progress on goals and performance targets. She said teachers will have support and training, and where the district wants to be in five years in terms of core services will be clearly defined in the new Strategic Plan.

Co-Chair Regan suggested the budget include a work force management system.

Heidi Franklin, Interim Chief Financial Officer, stated position control will allow principals to go on on-line to see which positions they have that are still vacant, and the central office can tell which positions are vacant and budgeted.

In closing, Superintendent Phillips added she wants a clear and equitable funding formula as a basis for staffing and then staff will look at what is happening in specific schools, as some will lose enormous amounts in desegregation FTE.

4. **CHARTER APPLICATION FOR PORTLAND PUBLIC INTERNATIONAL CHARTER MIDDLE AND HIGH SCHOOL**

Co-Chair Regan said Portland Public International Charter Middle and High School (PPIC) submitted a charter application to PPS on November 1, 2004. The Board's Educational Options and Professional Development Committee met in January of 2005 and voted unanimously to recommend to the full Board that the application be denied. She indicated the full Board approved the resolution to deny the application at its meeting on January 24, 2005.

Co-Chair Regan stated the applicant, per statute, submitted a revised application for consideration of an appeal of the Board's decision. She said a public hearing on the new application was held of March 8, 2005. The committee did not feel the modified proposal met the minimum requirements in the area of financial, business and organizational plan. Co-Chair Regan said the committee was in agreement that the potential of the proposal should not go unrecognized and, in fact, the committee believes that the concept of the school, a language immersion middle and high school program with an International Baccalaureate component, is a desirable option for PPS to pursue.

Co-Chair Wynde commended Directors Morgan and Regan who stepped in to participate in the review and he further thanked staff who worked extensively on this charter issue. He noted the applicants were very agreeable regarding being partners with the school district in this endeavor.

The Board unanimously approved Board Action 3255 by a vote of 6-0 (Director Jackson absent; Student Representative Cortez absent), thus denying PPIC's appeal.

5. LEGISLATIVE UPDATE

Co-Chair Regan said she, Superintendent Phillips and Director Wynde met with Portland-area legislators recently and shared the school district's current budget situation with them. She said they wanted legislators to understand the reality of a shortfall in funding from the state, plus the loss of the Local Option levy and the General Obligation bond at the end of this school year. She noted that with the assistance of Justin Martin, PPS Government Relations Specialist, she and Superintendent presented to legislators in Salem the previous week.

Co-Chair Regan said she also has met with representatives from Stand for Children and the Portland Schools Foundations to discuss PPS' funding situation. She said Superintendent Phillips, Co-Chair Wynde and she also met with Mayor Potter's staff and would soon meet with other city commissioners.

Co-Chair Regan noted a tracking system was in place to ensure that any legislation in Salem that could impact public education and PPS was monitored. She added that currently they are tracking more than 110 pieces of legislation. She suggested interested parties log onto the Oregon School Board Association's website at www.OSBA.org and click on "Bill Tracking."

6. BUSINESS AGENDA

Ms. Joel announced changes to Board Actions 3240 and 3245.

Co-Chair Wynde introduced a walk-on – Board Action X3256, "Recommended Grievance Decision," which he said legally had to be on the agenda as it was a decision on a Level 2, Step 1 grievance of the PAT (Portland Association of Teachers) contract.

The Board unanimously approved the remaining items on the Business Agenda, including X3256, by a vote of 6-0 (Director Jackson absent from voting; Student Representative Cortez absent from voting).

7. **OTHER BUSINESS**

There was no further business.

8. **REMAINING CITIZEN COMMENT**

There was no remaining citizen comment.

9. **ADJOURN**

Co-Chair Wynde announced the next regular meeting of the Board of Education will be held at on Monday, March 28, 2005, at 6:30 PM in the Auditorium of the Blanchard Education Service Center.

The regular meeting of the Board of Education for March 14, 2005 adjourned at 11:18 PM at the call of Co-Chair David Wynde.

Submitted by:

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Julie Joel, Executive Assistant
PPS Board of Education